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The Chicago Public Education Fund (A)

Feeling excited and a bit apprehensive on a cold March morning in 2001, Janet Knupp closed her office door and prepared for her upcoming meeting with the board. As president of The Chicago Public Education Fund (The Fund), a venture capital fund for public education in Chicago, Knupp was leading the newly formed organization's founders through their first annual review of the organizational strategy. While The Fund had experienced some successes in the year since its launch in March 2000, Knupp believed that their most significant challenges lay ahead. First and foremost, it was critical that the board revisit and agree on the organization's identity and its vision for the future. Board members had exhausted many of their contacts for fundraising prospects, and they needed to agree on the value that The Fund offered in order to attract new investors. With these issues in mind, Knupp turned to her computer and began outlining her recommendations to the board.

The Fund

In early 1999 a group of Chicago corporate and civic leaders came together to discuss the state of Chicago's public education system. They strongly believed that education should be the top civic priority in the city, and they recognized that many others in the private sector shared their commitment. However, they also realized that there was not an effective way to invest in the public education system as a whole. While many corporations contributed to specific schools or educational programs, no opportunity was available to invest dollars and ideas at the district level where the root problems existed. Through the Chicago Annenberg Challenge, the Annenberg Foundation committed $2 million if the group built a public education fund in Chicago. The Chicago Annenberg Challenge board of directors agreed that a new type of investment vehicle was needed to support public education, and in response created The Fund. Their first task was to recruit the founding board members to lead the effort. Scott Smith, president and publisher of the Chicago Tribune Company, accepted the position of chairman of the board.

During summer 1999 the board planned to send out a request for proposals and to consider a large number of small grants to various nonprofit organizations in Chicago. Board members agreed on a fundraising goal of $10 million. Along with The Chicago Annenberg Challenge's $2 million commitment, they managed to raise an additional $1 million in contributions during the summer months. They also formed The Fund's Leadership Council, an advisory board of individuals from corporations and educational groups, though the council's role was not clearly defined when it was initially conceived.

At the same time, another top priority for the board was to hire a leader who would manage The Fund's efforts. After an extensive search they recruited Janet Knupp for the position, with the approval of Chicago's Mayor Richard M. Daley, Chicago Public Schools CEO Paul Vallas, and the Board of Education President Gery Chico. Knupp exhibited the ideal mix of skills: she had teaching and nonprofit management experience, specifically within the Chicago Public Schools (CPS) environment. In her last position as executive director of Chicago Communities in Schools, she had transformed a struggling organization into a thriving program that delivered results. Knupp's first priority was to convince the board members that they needed to stop fundraising in order to revisit the organizational strategy and to agree on their overall objectives.

Changes to the Organizational Strategy

It was at this point that the board more seriously considered a venture philanthropy model, which applies the concepts of venture capital to the nonprofit sector. The venture philanthropy model has several distinctions from the more traditional philanthropy model exhibited by many foundations. There are several different types of foundations, categorized mainly by their donor base, which may be a single source of funds (one individual or family) or several individuals or families. While the various types of foundations exhibit different characteristics, they often generate income from the interest on an endowment. An endowment is a sum of money that is restricted from use, though the interest earned can be used to support the foundation's mission. Some corporations form foundations to manage their corporate philanthropic activities, which may have an endowment or may simply be supported financially by the company on a regular basis. Foundations typically provide a large number of different sized grants to many organizations that support the foundation's mission. While a foundation may require some reporting throughout the life of the grant, its assistance typically emphasizes financial capital. (See **Exhibit 1** for a summary of the key characteristics of traditional philanthropy and venture philanthropy.)

While the venture philanthropy model is similar to a traditional foundation in some ways, there are significant distinctions. First, venture philanthropy emphasizes the investment of human resources in programs and organizations, in conjunction with financial resources. Funds are provided to assist investees in building organizational capacity to enable them to become self-sufficient over time. It is often the case that venture philanthropy will commit financial resources contingent upon the investee organization meeting specified benchmarks or goals throughout the grant period, and staff members of the venture philanthropy work closely with the investee management team to ensure progress is made toward benchmark goals. In addition, staff or board members often actively participate on the board or advisory council of investee organizations. Venture philanthropies seek organizations with strong program management teams and a results-driven approach that emphasize performance measurement in order to ensure sustained viability even after the grant relationship has ended. Finally, venture philanthropies develop defined exit strategies at the time of the investment to ensure that the organization understands the duration and expectations of the relationship over time. In The Fund's case, the model also required that CPS hold a lead co-investment position in all of The Fund's portfolio programs to ensure alignment between the priorities of both organizations. Though venture philanthropy was a relatively new model in the nonprofit sector, and was particularly absent in Chicago and the Midwest, the board agreed that it would be effective in leveraging the $10 million they planned to raise. (See **Exhibit 2** for more details on how The Fund's venture philanthropy model is similar to the concepts employed in venture capital investments.)

At the same time, Board members also considered where they would focus their investments, and came to the consensus that leadership was a critical component in improving the public school system and ultimately student achievement. Knupp and the board believed that this model and investment focus would strongly appeal to the private sector they were targeting for support. They defined three leadership strategies (see **Table 1**) to address critical needs within CPS (see **Exhibit 3** for The Fund's strategy map).

Table 1: Three Leadership Strategies

Need Addressed	Leadership Strategy	Description	Initial Implementation/Execution
Large number of teacher vacancies in high-need schools	Talented New Teachers	Programs that recruit and develop exceptional, non-traditional talent to address critical teacher shortages	Alternative certification of teachers, a variety of programs that enable individuals with a non-education college degree to earn a teaching certificate
No systematic identification of or incentives for effective and talented teachers	Master Teachers	Programs that identify and develop outstanding teachers and compensate them accordingly	National Board Certification, a rigorous process that identifies particularly talented teachers; recognized as the highest honor a teacher can achieve
Large number of principals near retirement and need for leaders that can effect change in schools	Expert Principals	Programs that recruit and develop talented principals with business and education expertise to effect change in schools	Alternative training programs for principals, which target professionals with education experience and train them to be effective principals

The Fund's Public Launch

The Fund publicly launched in March 2000 with commitments totaling $1.5 million to its first six investments. To increase the number of Talented New Teachers, The Fund invested in three organizations: Teach For America (TFA) and Golden Apple Teacher Education (GATE), two alternative certification programs for teachers, and the Teacher Recruitment Initiative, a program that assesses the abilities of alternatively certified teacher applicants as compared to those of traditional teaching applicants. A fourth investment was made in the Quest Center, the Chicago Teachers Union's program designed to prepare and support candidate teachers for National Board Certification, to encourage the development of Master Teachers. Finally, The Fund invested in the Leadership Academy & Urban Network for Chicago (LAUNCH), a program that recruits and trains principal candidates within the CPS system to become Expert Principals. In addition to these five program investments, The Fund also introduced the NBC Give-Back Incentive, an incentive program that encouraged teachers to become Master Teachers by pursuing National Board Certification as outlined by the National Board for Professional Teaching Standards.

At the launch, The Fund focused on its venture philanthropy model and its leadership investment focus, which was consistent throughout its branding and key messages. Specifically, The Fund highlighted its investment in TFA because it provided a representative example of several venture philanthropy principles: The Fund was a critical factor in enabling the national organization to open an office in Chicago to begin training the first class in summer 2000, and Knupp served on the local advisory board for the organization. The Fund's stated organizational objectives included systemic change throughout Chicago's public education system and engaging the private sector in key education issues. Its deliberate partnership with CPS and alignment with CPS priorities were also emphasized, and were echoed by CPS leadership and Chicago's Mayor

Daley. With more than $3 million raised, The Fund appeared to be in a good position to meet its $10 million goal.

During the summer months that followed, Knupp and the board engaged Leo Latz, a fundraising consultant, to assist with the development of a plan to meet their financial targets. Upon his recommendations, they established a three-year timeframe for the fundraising goal and began an aggressive fundraising schedule. Knupp and Latz went on more than one hundred fundraising calls during the fourth quarter of 2000 in an effort to educate, cultivate, and solicit funds from prospective investors. These calls were challenging because they tended to be “cold calls” on individuals and corporate executives with no prior knowledge of The Fund. Knupp and Latz had to educate potential investors, attempt to cultivate a relationship, and solicit funds from them, all within thirty to sixty minutes. Further, The Fund had a limited list of investors involved at the time, and little to no results to show from its recently announced investments.

The Strategic Planning Committee

While this was going on, Knupp and a small group of board members formed a strategic planning committee to develop The Fund’s organizational strategic plan for board approval at the August meeting. They agreed on four main internal objectives that supported the three leadership investment strategies in order to achieve the organization’s investment goals:

- Become CPS’s leading strategic investment partner
- Increase financial investment in strategic ways that strengthen public education
- Expand private sector engagement in CPS
- Be a model for venture philanthropy

In line with these objectives, Knupp and her staff constantly sought opportunities to actively engage the members of the Leadership Council. The first meeting for the group was held on June 12, 2000, to share future plans for the council, to update them on The Fund’s progress, and to hold an in-depth discussion related to National Board Certification, one of The Fund’s three investment areas. In October 2000 the group came together again to discuss the Expert Principals investment strand. Beverly Tunney, executive vice president of the American Federation of School Administrators, came to share her thoughts on how the role of the principal had changed over the past several years and now required more business management skills. Knupp then asked for the group’s thoughts on hiring non-education professionals as principals. The consensus of the council was that it made sense to provide business leaders with an opportunity to become school principals through an accelerated alternative certification program. As a result, the board approved a $600,000 investment over two years in New Leaders for New Schools, in order to bring the program to Chicago in February. This key strategic decision marked a significant change in the role of the Leadership Council.

The 2001 Strategic Review

Early in 2001 Knupp suggested to the board that it review the organizational strategy and apply the lessons it had learned over the past year, related to both investments and fundraising. Staff members conducted a series of meetings to prepare recommendations to the board. During these meetings, they reviewed the previous year's strategic plan, revisited the organizational vision, and discussed the key issues in developing the strategy for the next year and through the end of the four-year fund.

Reviewing the 2000 Strategic Plan

The Fund's staff met in February 2001 to develop a Strengths-Weaknesses-Opportunities-Threats (SWOT) analysis of the organization over the past year. The key strengths staff members identified included a consistent investment focus on leadership, strong short-term results from the program portfolio, a high level of engagement from the board's program committee, and good access to senior-level executives through board contacts and other relationships. They also felt that there were opportunities for The Fund to strengthen its partnership with CPS, to further expand and develop its board and Leadership Council, and to develop relationships with large national foundations and other organizations that were interested in The Fund's work.

The staff agreed that there were a number of areas where The Fund could improve. First, it appeared that many prospective investors did not fully understand the value of The Fund's model and saw the organization more as a "re-granter" of funds. The Fund's staff members provided strategic management assistance to investee organizations to help them increase their capacity, the scalability of their efforts, and their long-term viability. Therefore, rather than just providing financial capital, staff worked closely with investee management teams to influence how they ran their organizations, in theory to help them reach their goals and achieve their desired outcomes. In addition, grant payments were made to investees based on a payment schedule that ran throughout the grant period, contingent on achievement of agreed upon benchmarks. This ensured that the investee organization would not receive committed funds if it were not performing as expected. Together, these organizational practices and The Fund's investment structure added more value than simply re-granting funds, because The Fund had the opportunity to significantly affect organizational outcomes.

There were other opportunities for improvement as well. Because The Fund acted as an intermediary in the funding relationship, it was difficult for some potential investors to visualize the organization's impact on students. The staff did not have a rationale for how much or what to ask prospective investors to commit. Also, Knupp's experiences over the past year indicated that fundraising calls where prospective investors had no personal connection with The Fund tended to be less successful; it was difficult to demonstrate the value of The Fund's model to them and solicit an investment within the same meeting. Finally, many members of the board were overcommitted as a result of competing civic priorities, and had limited time, capital, and contacts to contribute to the organization. To compound these issues, there was no full-time employee focused on development and the program staff was stretched too thin.

While the weaknesses the staff identified needed immediate attention, there were also several threats that loomed on the horizon. Due to poor economic conditions, corporations were limiting philanthropic budgets, and several large corporate headquarters were relocating outside of Chicago or closing altogether. Many of the commitments The Fund had received from investors did not actually show up as cash for as many as three months to a year, delaying the commitment of funds to program investments. Unlike many foundations, The Fund did not have an endowment to rely on to generate revenues and was forced to allocate resources to raise funds on a continual basis. Further, being a newly formed organization, cash flow was particularly critical in continuing to remain in operation. Another significant threat was the vast number of education reform organizations and foundations competing for the same dollars, including The Fund's own portfolio programs that needed to raise capital in addition to their grants from The Fund.

The staff agreed that school leadership was a unique niche and the venture philanthropy model was a good strategy, but they needed a way of demonstrating the value of The Fund's model. Another priority was to find additional opportunities for actively engaging investors, particularly the members of the Leadership Council.

Revisiting The Fund's Vision

In March staff members met to discuss the organization's mission and what The Fund would ultimately like to accomplish. The objectives that had been outlined in the 2000 strategic plan were still valid, but they felt that the organization lacked an overall vision or high-level goal to clearly describe the intended outcomes of The Fund's efforts, thus making it difficult for potential investors to see how The Fund's efforts would ultimately provide benefits to them. The staff worked with an independent consultant to clearly state The Fund's vision for Chicago. The group came to the consensus that its ultimate goal was to help CPS to become a system of world-class public schools. Not only would helping to create world-class public schools fulfill the mission of improving student achievement in CPS, but it would also benefit corporations by attracting new companies and people to the city and by providing the opportunity to better educate the city's future workforce. This vision more clearly emphasized the benefits to Chicago's private sector of taking on increased responsibility in improving the city's public education system.

Key Strategic Issues for 2002

Through a series of strategy planning sessions, including meetings to develop the SWOT analysis and the visioning session, the staff identified the key issues they felt the organization needed to tackle during the coming year. Their most significant concerns were related to The Fund's operating model, the fundraising strategy, and the framework for program investment decisions. The board had scheduled a strategic review session to discuss the staff's recommendations in late April 2001.

The Fund's Operating Model

During its first year, The Fund had essentially operated as a hybrid of a venture philanthropy organization and a public education fund, as its name implied. Public education funds are community organizations solely focused on improving schools in a geographic area. While venture philanthropies typically work closely with a limited number of investee programs in which they invest a significant amount of capital, public education funds often make a large number of small grants to various organizations, similar to a foundation. Public education funds are also not as likely to commit significant human resources to external organizations, and focus on parents and community members as key constituents. In addition, many public education funds are involved in program administration, whereas venture philanthropies focus on partnerships with external organizations. In line with the principles of venture capital, venture philanthropies more heavily emphasize measurement of results and reporting those results to investors; many of them require their investee organizations to complete a "balanced scorecard," a performance measurement tool developed by Robert Kaplan, a professor at the Harvard Business School, and David Norton, a management consultant. The balanced scorecard tool defines the organizational objectives, what metrics will be used to measure progress against the objectives, and the targets for a specified period of time. For example, one of the metrics for TFA was the number of corps members they recruited for a given year. (See **Exhibit 4** for an example of a balanced scorecard for one of The Fund's investments.) Some venture philanthropies publish social return on investment (SROI) reports for their investee organizations, which measure the value of the social benefit created by the organization. An example for a job preparation organization might be the value of the estimated reduction in crime that resulted from the program.

Staff members believed these contrasting principles between venture philanthropy and public education funds created problems for The Fund, making it difficult to develop exit strategies from program investments or to discontinue funding when agreed-upon benchmarks were not met. They felt that the unique value The Fund provided to investors was captured in the venture philanthropy model. The combination of larger financial investments in programs and close partnership with program staff provided programs with the ability to build their organizational capacity and to improve the sustainability of their operations. It also provided them with the necessary resources to successfully meet the needs of CPS, thus increasing the long-term return to The Fund's investors. In addition, staff members realized that although they had built expertise in partnering with their programs to execute and to measure their results, and in facilitating the sharing of ideas and practices among portfolio programs, they were not strong in administering programs as a public education fund often does. And while The Fund's mission was to improve student achievement in public schools, a second key priority was to engage the private sector in key education issues. Staff concluded that the organization's venture philanthropy characteristics were what interested and attracted target investors and ultimately made it effective in improving school leadership.

The Fundraising Strategy

The Fund was arguably very successful in raising funds during its first year; Knupp and Latz had secured investments from the vast majority of their fundraising calls. However, investments in The Fund tended to be substantially smaller than those of other similar venture philanthropies, including New Profit, New Schools Venture Fund, and Venture Philanthropy Partners. Many of these venture philanthropies were national in scope, but they consistently focused on a few very large investments. Over the course of the first year of fundraising, excluding the lead $2 million gift from the Chicago Annenberg Challenge, The Fund's average investment from 126 investors was slightly less than $23,000. In contrast, at that time, New Profit had thirty-eight investors, each with a $100,000 minimum investment, New Schools Venture Fund had a lead $20 million gift and significant contributions from only eighteen other investors, and Venture Philanthropy Partners had twenty-nine investors with a $500,000 minimum and an average investment of $1 million. The staff questioned whether The Fund should seek fewer, larger investments rather than spending time cultivating relationships with individuals who gave less than $10,000. Not only did the smaller investments take valuable time that could be spent on developing relationships with more significant investors, but these investments also tended to take just as long to close despite the difference in size. The larger investors were mostly corporations and high net-worth individuals who made their money through business, so the staff felt that it was important to develop an organizational model that would appeal to corporate investors.

As the staff had discussed in the SWOT analysis, fundraising calls with potential investors who had limited knowledge of The Fund were less successful than those where the prospect knew something about the organization or had a contact on the board or Leadership Council. The Fund’s model was complex and difficult to clearly explain during a short meeting, which was typically the case since Knupp consistently tried to meet with CEOs and senior executives. The staff agreed that it needed to describe the model and demonstrate its impact on the public school system in a clear, straightforward way.

In many of Knupp’s meetings with potential investors, she was asked how investing in The Fund was different than investing directly in the programs themselves, especially in light of the fact that The Fund’s involvement added organizational overhead costs. Another common question was how $10 million could really make an impact on a school system with a budget of more than $4 billion. It was clear that The Fund needed a more effective way of addressing these issues and of demonstrating its value, which would be critical in future fundraising efforts.

The Framework for Program Investments

After a year, The Fund’s initial investments had begun to show some positive results. More than 50 percent of the graduates from the LAUNCH program held principal or assistant principal positions in CPS. Together, TFA and GATE placed sixty-five new teachers in high-need classrooms that otherwise would have been led by a non-certified or a substitute teacher. TFA’s newly established Chicago office was ramping up and preparing for a larger class in 2001–2002. In addition, The Fund was working closely with CPS on an investment in New Leaders for New Schools, a principal preparation program for professionals outside the field of education, which was a direct result of the strategic discussion at the previous year’s Leadership Council meeting. New Leaders was currently in discussion with public school administrators in New York City and was looking for a second large city in which to introduce the program.

While the programs were performing well, Knupp and her staff identified several concerns and felt a key next step was to clearly outline The Fund’s portfolio investment framework. Staff members agreed that they often struggled with capacity issues; Sonya Choe Miller, a Kellogg MBA with a background in business and education, was the only program officer for the first eighteen months of working with programs. While they wanted to get more actively involved with the programs, limited resources prevented them from doing so at an appropriate level. As a result, with certain investments, The Fund was not truly adhering to the venture philanthropy model that required close interaction and a significant amount of time with program management teams on an ongoing basis. Miller was often forced to concentrate on the programs that needed more assistance and was not able to spend adequate time with other, more advanced programs, though there were still multiple opportunities for adding value to these programs as well.

The staff also realized that it had considerably less influence with programs that were already established in the city. These programs typically had instituted their own systems and networks within the city and had developed their own relationships with CPS, and therefore were less compelled to work closely with The Fund to make significant organizational changes. Further, these programs had worked with various foundations and other financial sources to secure funding in the past and were unfamiliar with the concepts of venture philanthropy. The Fund provided grants to investee programs through a payment schedule that was based on benchmarks that the program agreed to meet in order to receive the specified funds. Over the past year, staff members had experienced some uncomfortable situations when funding was delayed because benchmarks had not been met. They were also concerned about potential political pressures that might make it difficult to discontinue funding to a program that was not meeting expectations, both from within and outside the organization. In addition, while the board as a whole had endorsed the venture philanthropy model, it was still challenging to enforce its principles in some cases, including situations where The Fund did not have a clear role in the investment relationship, or funding was delayed or discontinued.

The Fund’s Value Model

Staff members agreed that targeting larger corporate investors was a good fit for the venture philanthropy model, as well as where they had experienced the most success. They discussed the sources of value they believed The Fund offered to these investors. In many ways, staff believed that The Fund’s value could be compared to that of a mutual fund. Investors use mutual funds to invest in a number of companies for the purpose of reducing risk and increasing return. Mutual fund managers research companies and invest in a large number of corporations that they feel are likely to perform well. However, if one or a few of the selected companies perform poorly or fail, the intent is that the positive performance of the other selected companies will outweigh any losses, thus producing consistent positive returns. The theory behind mutual fund investing can be compared to The Fund’s model to describe two key sources of value.

First, similar to a mutual fund manager, The Fund’s staff performed the necessary research and due diligence to identify, evaluate, and select programs for investment. Because staff members had educational experience and expertise, they were in a better position than investors to recognize which programs were likely to be successful. In addition, The Fund’s partnership with CPS leadership and administration ensured that investments were aligned with CPS priorities. In some cases, such as with TFA and New Leaders, The Fund played a critical role in bringing the program to the city and influencing CPS’s investment in the program. The Fund required that CPS be a lead co-investor in any program investment to ensure that objectives and priorities were aligned. This would be particularly difficult for investors to accomplish on their own in the absence of The Fund.

Second, The Fund’s model reduced the risk of donating financial capital to CPS and other education organizations. By investing in The Fund, investors were in effect investing in several organizations that worked to recruit and develop teachers and principals for CPS. As a result, if one of these organizations did not survive or was unable to raise enough money to continue operating, the total investment was not lost. There were a number of other organizations still benefiting from the funds. In addition, The Fund did not release grant payments until specific benchmarks were met. Not only did this mean that investee organizations were more likely to reach their objectives, but The Fund’s staff was also working closely with them to ensure that progress was being made, and staff members were more likely to be aware of organizational problems and issues.

The Fund added value in other ways as well. Investments in a limited number of programs with a strict focus, which was consistent with the venture philanthropy philosophy, enabled staff to be more engaged with program management and staff. Knupp realized that in order to increase the level of engagement with programs, it was critical that resources be allocated appropriately. But she also knew that the investment focus on leadership resulted in the opportunity for staff to apply lessons learned from one area to another. Further, because many of the organizations that The Fund worked with were just starting out, staff members were able to develop expertise in assisting programs in the start-up phase and to provide assistance that was particularly valuable to the programs.

By working closely with programs, staff members were also able to identify potential areas where programs could collaborate with one another to share ideas and practices. This addressed the question of how an investment in The Fund generated a higher return than a direct investment in one or more of The Fund's portfolio programs, as the programs were less likely to communicate without a suggestion from Fund staff. The Fund often facilitated collaboration among programs by suggesting meetings with other programs or by incorporating collaboration within the portfolio into the benchmarks for various program investments. In addition, by selecting complementary programs for investment and encouraging them to communicate, The Fund was essentially increasing the collective value of its portfolio.

Finally, and perhaps most importantly, The Fund used its investment strategy to influence CPS's investments and policies. (See Exhibit 3, which outlines The Fund's objectives and method of implementation for each leadership strategy.) The organization's mission was to improve student achievement through its role as a strategic investment partner and catalyst for change. The catalyst role was one that direct investment in programs alone would not achieve. The Fund intended that this role lead to sustainable change throughout CPS by influencing how CPS identified, recruited, and developed its talent. The Talented New Teachers strand initially identified alternative certification as a way of filling vacancies in high-need schools, and The Fund and CPS invested in TFA and GATE, providing CPS with more than sixty new teachers each year. These investments led CPS to endorse alternative certification as a viable recruiting source. To identify Master Teachers, The Fund focused on National Board Certification. Through the NBC Give-Back Incentive and an investment in a pre-candidacy program to prepare and support teachers through the process, The Fund encouraged CPS's teachers to attempt certification and compensated those who achieved it with a one-time $3,000 stipend. Before launching the Incentive, The Fund asked CPS what it was willing to contribute. CPS agreed to provide an additional one-time award of $2,500 to teachers who achieved certification, representing the first time that pay for performance was introduced into the compensation system. In addition, the Illinois State Board of Education agreed to match The Fund's $3,000 stipend, for a total incentive of $8,500 to teachers that achieved certification. Finally, to address the need for principal talent to lead Chicago's public schools, The Fund identified two programs that recruited and developed principals both within and outside the education system. The investment in New Leaders marked a dramatic change in CPS policy that allowed professionals outside the field of education to become principals. Through The Fund's strategic investment partnership with CPS, it was able to influence CPS's spending and policies, creating changes throughout the entire system.

In order to capture the lessons learned from their fundraising and investment experiences, Knupp and her staff developed two frameworks—one focused on investor development and the other on investments. (See **Exhibit 5** for more details on the investor development and investment frameworks.) The investor development framework outlined the investor target market and the support needed from the board to meet its fundraising goals. The investment framework provided criteria for identifying and evaluating potential program investments.

The Upcoming Board Meeting

Knupp finished reviewing her notes from the series of strategy sessions with the staff. She was satisfied that they had identified The Fund's key strengths and weaknesses and she felt confident that the venture philanthropy model was the key to The Fund's value to current and prospective investors. Knupp planned to present the investor development and investment frameworks to the board at the strategic review and request the board's approval. But she was still unsure about how to demonstrate their progress to date at the portfolio level and the impact they had made on CPS policies. As the lead fundraiser for the organization, it was primarily her job to convince current and potential investors that The Fund was the best way to invest in CPS. And while she now had a more impressive list of influential corporations and individuals who supported The Fund's efforts, that would not be enough until they had gained more ground in Chicago's education landscape. It was essential to gain the board's full support to move The Fund further from the public education fund philosophy and to focus on raising capital, which meant that her recommendations had to be focused and convincing.

Exhibit 1: Traditional Philanthropy vs. Venture Philanthropy—Summary of Key Characteristics

The Chicago Public Education Fund

Better schools are everybody's business.

Characteristic	Traditional Philanthropy	Venture Philanthropy	Application to The Fund
Definition of organization	▪ Community foundations receive funds from a large number of donors; they often manage donor advised funds for wealthy individuals who do not have their own foundation (e.g., Chicago Community Trust); typically have endowments (money set aside in an account and the interest is used to make grants) ▪ Other foundations receive funds from a wealthy individual or family (e.g. McDougal Family Foundation or the Bill & Melinda Gates Foundation); often have endowments; they vary significantly in size ▪ Corporate foundations receive funds from a corporation and manage corporate philanthropic giving; may receive regular contributions from the corporation or have endowments	▪ Venture philanthropy organizations (VPs) apply the concepts of venture capital to the nonprofit sector; they raise funds from various sources (including individuals, corporations, and foundations) and invest them in organizations; VPs also provide strategic management assistance to investees, which involves giving advice to the investee in a role as a financial and thought partner, helping the investee to execute their programs, doing what needs to be done for the organization to succeed; typically, they do not have endowments but raise funds on an ongoing basis toward a specified monetary goal	▪ The Fund continually raises funds from investors toward a defined fund goal ($10M for Fund I and $15M for Fund II) and provides grants and strategic management assistance to investees through an ongoing close relationship that resembles a partnership agreement
Organizational objectives	▪ To fulfill mission by supporting organizations in a limited number of philanthropic areas; larger foundations often have multiple investment areas of focus (e.g. health and community development)	▪ To fulfill mission through investments in a focused philanthropic area and to enable investees to become financially stable and to build their organizational capacity; the majority of VPs focus on a single area, such as education, though some do have more than one philanthropic focus	▪ The Fund's mission is to improve student achievement through its role as a catalyst and strategic investment partner ▪ One of The Fund's main objectives is to actively engage the private sector in public education ▪ The Fund only supports programs that benefit Chicago Public Schools (CPS) ▪ Investments are focused on improving school leadership
Revenue generation	▪ Depending on their structure, foundations receive funding from one individual/family or multiple individuals and they may or may not solicit funds ▪ Most larger foundations have endowments and grant out funds that are generated from interest and investment returns	▪ VPs generally receive funds from more than one source, such as a number of individuals or companies ▪ Typically, they do not have endowments, but continually raise funds for their operations	▪ The Fund has approximately 175 investors, most of whom are individuals and corporations; the majority of funds are generated from the top twenty-five investors ▪ The Fund does not have an endowment, but continually raises funds from investors

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Exhibit 1 *(continued)*

Characteristic	Traditional Philanthropy	Venture Philanthropy	Application to The Fund
Investment focus and strategy	▪ Invest relatively smaller amounts of funds in a larger number of organizations that fit with the mission ▪ May restrict investments to particular programs or projects	▪ Invest more significant amounts of capital in a limited number of organizations ▪ Typically provide funds for general operating expenses to enable investee to build capacity	▪ The Fund has invested approximately $8.5M in nine programs over three years ▪ The Fund's investments in programs are for general operating expenses
Investment criteria	▪ Fit with mission and objectives, with generally broader criteria ▪ Strong management team ▪ Clear vision and strategy ▪ Approval of foundation officials and/or board	▪ Fit with mission and objectives ▪ Strong management team that is willing to partner with the VP's staff, meaning there are significant and continuous opportunities for staff to provide strategic management assistance ▪ May seek opportunity to participate on board or advisory council ▪ Clear vision, strategy and plan for execution/implementation ▪ Defined exit strategy ▪ Approval of board	▪ The Fund invests in a limited number of programs that fit with its objectives of recruiting and developing school leadership ▪ It selects investments with a clear vision and strategy that will help to achieve The Fund's objectives and create lasting impact on CPS ▪ It thoroughly evaluates management teams and creates partnerships with them ▪ The Fund's staff typically holds a seat on the board or advisory council ▪ Before making an investment, The Fund develops an exit strategy ▪ The Fund's board approves all investments
Form of investment	▪ In some cases, primarily capital; some foundations have program officers that work more deeply on a few specific grants	▪ Both financial and human capital in the form of strategic management assistance ▪ May also be involved by trying to help investees to secure additional resources	▪ The Fund provides strategic management assistance in addition to funds to all of its investees ▪ In addition, The Fund seeks opportunities to help investees secure funds and/or assistance from other sources
Level of involvement	▪ Relatively low, especially once investment is made, though some foundations may have program officers that work more closely with programs	▪ Relatively high throughout relationship	▪ The Fund works with investees prior to the investment as well as throughout the investment cycle to ensure benchmarks are met and progress is made
Duration/length of investment	▪ In some cases, grants are automatically renewed, with little to no action required; other times, organizations must reapply each period	▪ Typically longer term relationship of three to seven years ▪ Separate grants made and renewed on a regular basis (annually or bi-annually)	▪ The Fund typically makes grants on a one-year cycle, but has made some two-year grants ▪ Grant relationships are generally three to five years
Investment amount	▪ Significant range, depending on the size of the foundation	▪ Larger grants ($100K to $1M annually) to a limited number of organizations	▪ The Fund typically grants $100K to $300K annually during the relationship
Frequency of grants and/or payments	▪ May be paid up front all at once or make regularly scheduled payments over the course of a period of time	▪ Often staggered throughout the year and awarded as performance benchmarks are met	▪ The Fund develops benchmarks in coordination with investees and awards grants over the course of the year as benchmarks are met
Reporting requirements	▪ Typically require a report at the end of the year	▪ Work closely with investees to ensure progress is being made as planned; if not, may suggest alternative actions or assist in finding additional resources ▪ May require reports throughout the year as basis for grant payments	▪ The Fund works closely with investees to ensure that progress is being made according to plan and to make mid-stage corrections as needed ▪ The Fund generally requires reports and/or evidence that benchmarks are met throughout the year in order to release grant payments

Exhibit 2: Principles of Venture Capital—Key Similarities and Differences for The Fund

Concept	Venture Capital Principles	The Fund's Key Similarities	The Fund's Key Differences
A: Investment evaluation process	▪ Screen technical/operational and business merits of the proposed company ▪ Assess and/or select the management team ▪ Consider each of the concepts listed in this table in making investment decisions ▪ Continually seek "leading edge" ideas that are at the forefront of the market; anticipate what will lead the market in the future and invest early ▪ Ultimate objective is to assess and maximize the potential return on investment to fund investors through acquisition or IPO	▪ Considers each of the concepts listed in this table and its potential impact on the investment before making any decisions ▪ Assesses the management team for portfolio programs when evaluating potential investment; prefers to select the management team, though may not always be able to at CPS ▪ Seeks "leading edge" ideas that are at the forefront of education; anticipates the future of education and makes investments accordingly ▪ Secondary objective is an "acquisition" or "merger" via public or CPS financing	▪ Screens social and technical merits of the proposed company ▪ Deals with significant politics in making investment decisions ▪ Ultimate objective is to impact the education system in a way that improves student achievement
B: Life cycle stage of potential investment	▪ Typically engage in seed investing (before company is organized) or early stage investing (first or second stage of development) ▪ Sometimes engage in expansion stage financing (help company to grow beyond critical mass) ▪ May engage in later stage investing (growth to attract public financing) ▪ May engage in turnaround financing (invest in a company experiencing financial difficulty)	▪ Typically focuses on seed or early stage investing because has less influence with established programs ▪ Also considers expansion stage financing (for example, the investment in LAUNCH) ▪ Seeks to attract other financing for all investments; typically focuses on public sources such as CPS or government funding ▪ Ideally, The Fund will remain involved even after financial investment is fulfilled	
C: Length of investment	▪ Typically three to seven years, but can be longer if investment occurs during earlier stages	▪ Expects to invest for the long term ▪ Provides management assistance (such as participation on the board), even after the financial investment is completed in some cases ▪ Provides funding for investments until they have built sufficient capacity, developed their own sources of revenue generation, or been absorbed by CPS ▪ Supports investments until they have met specified system improvement goals	

Exhibit 2 *(continued)*

Concept	Venture Capital Principles	The Fund's Key Similarities	The Fund's Key Differences
D: Number of investments or funds	▪ Venture firms may manage one or several independent funds at any given time ▪ Each fund has several investee programs	▪ Has invested in several programs under the umbrella of Fund I ▪ Currently in the process of defining the strategy and goals for Fund II, which will be launched before Fund I investments have been completed	
E: Capital calls	▪ Venture firms typically "call" the needed investment capital from committed investors once a decision has been made to invest in a company	▪ Communicates investment decisions to investors on a regular basis	▪ Raises capital in the form of cash gifts and pledges for the investment portfolio as a whole, before specific investments are made ▪ Investors provide cash gifts and pledges on a schedule unrelated to when investments are made ▪ Capital is invested in securities until it is committed to an investment
F: Disbursements	▪ Venture firms typically provide capital to investee companies in one or more rounds of financing	▪ Generally commits significant grants to investee programs, typically on an annual basis ▪ Disperses grant funds to investee programs on a payment schedule contingent upon meeting specified benchmarks ▪ Generally plans to invest in investee programs annually for several years	
G: Management assistance	▪ Typically develop deep relationship with investee companies and offer extensive management assistance ▪ May hold a board seat in the investee company ▪ Use judgment when companies fail to meet expected financial goals	▪ Develops deep relationships with investee program[s] ▪ May hold a board seat, even once the financial investment is fulfilled ▪ May revise goals or delay payment schedule when benchmarks are not met ▪ Typically invests based on an agreed upon paymen[t] schedule that is contingent on meeting benchmarks throughout the investment cycle	
H: Performance measurement	▪ Measure financial performance, including multiple on money (return compared to investment) and raw total dollars returned (gain on the investment)	▪ Considers the amount of capital required for the investment compared to the value that is expected	▪ Monitors system impact ▪ Defines and measures social return on investment for each program investment ▪ Measures impact of full leadership portfolio
I: Co-investment	▪ Venture firms may invest in a company by themselves or co-invest with other venture firms, providing more capital resources for the investee company ▪ The strongest venture firms make lead investments in terms of financial or human capital provided to investee programs	▪ Has invested in programs both as the sole philanthropic investor and along with other philanthropic investors ▪ Typically seeks a lead investor position, based on financial investment or influence ▪ Assists investee programs in seeking other investors or in generating other sources of revenue throughout the life of the investment relationship ▪ Requires CPS to be a significant co-investor	

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Exhibit 2 *(continued)*

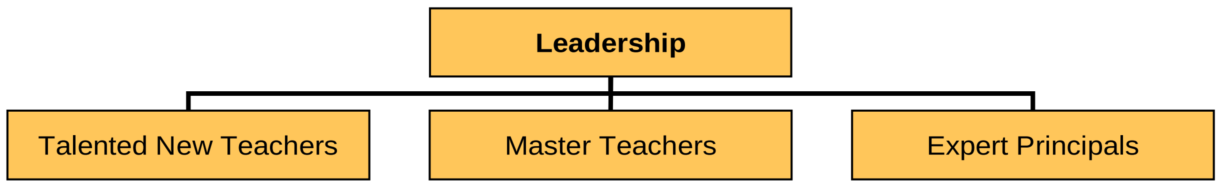
Concept	Venture Capital Principles	The Fund's Key Similarities	The Fund's Key Differences
J: Exit procedures	▪ Typically, exit from the investment is planned in three to five years of the initial investment, depending on what stage of the life cycle investment was made (may be as long as seven years for early stage investments) ▪ Exit may be in the form of an acquisition, a merger, or an initial public offering (IPO) ▪ The strongest venture firms are concerned about the long-term success of their investments, despite the fact they are no longer vested in the performance of the company	▪ Exit from program investments depends on the program as they tend to have significantly different levels of capacity ▪ Seeks to transition program funding to other sources, including absorption into CPS, or developing funding sources such as other foundations, corporations, individuals, etc. (similar to an "acquisition") ▪ The Fund remains vested in the success of program investments after the investment is completed because its ultimate objective is long-term impact on the system, improving long-term student achievement	
K: Management fees	▪ Venture capital firms typically charge a management fee of approximately 2 to 3 percent for a multi-million dollar fund to cover the costs of managing the capital of the fund (typical deal may involve several million dollars in capital) ▪ Industry trends are moving in the direction of lower management fees that cover the budget and must be approved annually by investors	▪ Uses some investment dollars to cover internal costs of managing the funds and program portfolio	▪ Does not take a percentage of invested dollars but only what is necessary to cover the costs of managing the organization

Exhibit 3: Leadership Fund Strategy Map

The Chicago Public Education Fund

Better schools are everybody's business.

Stay Focused and Invest Deep



	Talented New Teachers	Master Teachers	Expert Principals
Objectives	To recruit and develop exceptional, non-traditional talent to address critical teacher shortages	To identify and develop outstanding teachers	To recruit and develop talented principals with business and education expertise to lead effective schools
Examples	Alternative certification programs and innovative training and certification models	National Board Certification and data-driven instruction training	Alternative training and preparation programs for principals

Exhibit 4: Teach For America (TFA), Chicago: March 2001 to February 2002

Mission: Provide under-resourced public schools with extremely committed and talented teachers who have a catalytic impact in the lives of their students.

Priority	Metrics	Goals	Acceptable
Certification	▪ Details of university partnership ▪ Tuition rate ▪ Level of communication between TFA management and university partner	▪ Partnership with National Louis University (NLU) for at least one more year ▪ $3,700 or less, reduced tuition rate ▪ Options for other university partners ▪ Regular communication between TFA management and NLU	▪ Initial certification allowing corps members to be in CPS and receive standard first year teaching salaries ▪ $4,750 or less, reduced tuition rate ▪ Regular communication between TFA management and NLU
Recruitment and retention	▪ Number of accepted applicants assigned to Chicago ▪ Number of new corps members ▪ Diversity of new corps members ▪ Percent of corps members with majors in high need areas (math, science, world languages) ▪ Percent of corps members who complete two-year commitment	▪ Ninety-five accepted applicants assigned to Chicago ▪ Sixty new Chicago corps members ▪ 41 percent of new corps members people of color ▪ 33 percent male ▪ 50 percent of new corps member with majors in high need areas or bi-lingual speakers ▪ 88 percent of corps members complete two-year commitment	▪ Fifty Chicago corps members complete the first year of their assignment ▪ 25 percent of new corps members people of color
Placement	▪ Percent of corps members placed in high-need schools ▪ Percent of corps members clustered in schools ▪ Number of corps members placed in schools benefiting from other portfolio programs	▪ 100 percent of corps members placed in high-need schools ▪ 100 percent of corps members clustered in a minimum of groups of three ▪ 30 percent of corps members placed in schools benefiting from other portfolio programs	▪ 100 percent of corps placed in high need schools ▪ 90 percent clustered with one other corps member ▪ 70 percent clustered with at least two other corps members ▪ Actively seek opportunities to place corps members in schools benefiting from other portfolio programs ▪ Introduce NBC to teachers and principals of schools with corps members
Organization	▪ Local advisory board ▪ Level of communication ▪ TFA national management team commitment to Chicago operation ▪ Kane, Parsons & Associates evaluation	▪ Establish a local advisory board and set quarterly advisory board meetings ▪ Regular communication from Chicago executive director with advisory board members and program funders ▪ Regular communication and meetings with TFA national management team ▪ Meet national averages on Kane, Parsons evaluation	▪ Establish a local advisory board and set quarterly advisory board meetings ▪ Regular communication from Chicago executive director with advisory board members and program funders ▪ Regular communication and meetings with TFA national management team
Financial	▪ Fundraising goals ▪ Diversity of funding base	▪ Meet or exceed fundraising goals ▪ Secure a diversified funding base ▪ Secure CPS funding for tuition and/or training ▪ Continue developing a fundraising strategy including an exit strategy from The Fund	▪ Meet fundraising goals or secure additional assistance from national funding sources

Exhibit 5: Strategic Plan for Investor Development

The Chicago Public Education Fund

Better schools are everybody's business.

MISSION: To be a catalyst and strategic investment partner for improving achievement in Chicago Public Schools.

THE CHICAGO PUBLIC EDUCATION FUND:

- *Increases* private sector investment to improve student achievement in the Chicago public schools
- *Engages* the private sector in systemic public school reform
- *Invests* financial and human capital in high-impact programs
- *Manages* a limited number of initiatives with implications for significant, systemic improvements
- *Partners* with foundations, civic organizations, and education groups to advance common missions and collects and disseminates information, innovations, and best practices
- *Consults* with senior decision makers in Chicago and its public schools to influence education policies, programs, and initiatives

RESOURCE DEVELOPMENT STRATEGY

The Fund offers Chicago's private sector a vehicle for investing in system-wide school reform. As a venture capital fund for public education, The Fund brings investors' financial resources and expertise to high-impact programs that align with Chicago Public School priorities in order to achieve system-wide results.

Target investors include Chicago's largest employers, mid- and small-size businesses, individuals, and foundations. In order to facilitate systemic improvements in school reform, we need to generate minimal annual revenues of $3 to $5 million, anticipating $1 million in operating costs and $2+ million in annual investments.

INVESTMENT STRATEGY—SCHOOL LEADERSHIP

Our initial portfolio of investments is focused exclusively on principal and teacher leadership. Research shows that the single most important predictor of student achievement is the student's teacher. We also know that we can't attract or retain the best teachers if we don't have exceptional principals managing our schools. The Fund's strategy is to impact student performance by investing in programs and initiatives that develop or improve systems to recruit, train, and support skilled and knowledgeable school leadership.

RESOURCE DEVELOPMENT FRAMEWORK

Revenue Streams to Produce Annual Budget

- Target markets
- Board
- Leadership Council
- Consulting projects
- Fee for service, e.g., fiscal agency agreements, donor advised funds

Contribution Type

- Multi-year pledge
- Annual-renewable

Exhibit 5 *(continued)*

- $100,000 major corporation/foundation minimum ask
- $10,000 individual/small business minimum ask
- Planned gifts to build reserve fund

Measuring Results/Performance
- Annual Revenue Generation
    - Target Markets—60 percent
    - Board—25 percent
    - Leadership Council—15 percent
- 100 percent participation annual board and Leadership Council financial participation
- 75 percent board participation at major events
- 50 percent Leadership Council participation at major events

INVESTMENT FRAMEWORK

Key Organization Characteristics
- Mission which addresses a specific, critical need identified by teachers, principals, and administrators in the Chicago Public Schools
- Strong management team with demonstrated ability to deliver results
- Clear program goals and implementation plan with measurable outcomes
- Potential to "go-to-scale": (a) sustainable, systemic improvement, (b) district-wide impact, (c) model for significant impact on categories of CPS schools, or (d) critical element in a larger strategic improvement effort
- Strategic fit within portfolio of programs and strategy
- Demonstrated commitment to partner with The Fund and the Chicago Public Schools

Key Investment Criteria

Investment Type
- New idea or initiative
- Early stages of program development
- Expansion of existing program with implication for systemic improvement

Role of The Fund
- Lead investor—preferred
- Significant co-investor—with a strong strategic partner
- Minority investor—in limited circumstances for projects that clearly support The Fund's strategy and portfolio

Investment Cycle
- Initial investments typically range between $50,000 and $500,000
- Number and size of additional investments based on performance
- Human investment will most likely extend beyond financial investment

Measuring Results and Performance
- Identify performance benchmarks and indicators of success with program management
- Identify metrics for measuring and reporting social return on investment (SROI) of specific investment strategies
- Reduce or suspend investment in programs that are not meeting performance benchmarks
- Evaluate the impact of The Fund in major investment areas
- Evaluate the overall impact of The Fund on Chicago public schools